

Ethics and Who You Work For

One client, one report, and a short list of things that look normal in the industry and are still breaches.

You are engaged by the client and you work for the client. Everything in this lesson follows from that one relationship.

Who gets the report

Upon completion, the inspector gives a copy of the report only to the client. Not the seller, not the listing agent, not the lender — unless the client directs it.

Least likely to be an ethical breach

Sending a copy to the buyer's agent, where all parties attended the inspection. The buyer's agent represents your client's side, and was present.

YOU HAVE MISSED THIS

Which is most likely to be thought of as an ethical breach by a home inspector?

Paying to be a real estate agency's preferred home inspector.

Paying for referrals makes the agency your customer instead of the buyer. The conflict is that a thorough report costs deals, so the inspector who pays for the position has a standing incentive to be gentle. It is common in the industry and it is still the answer.

YOU HAVE MISSED THIS 3 TIMES

If clients want to discuss changes to a home, an agent should:

Discuss the changes away from the seller.

Discussing what your client wants to change, in front of the person they are negotiating with, hands over their position. It costs the client money and it is not yours to give away.

What the professional organizations do and do not do

YOU HAVE MISSED THIS 3 TIMES

Which of the following is not offered by home inspection organizations?

Licensure.

Associations offer certification, education, standards of practice, codes of ethics and continuing education. Licensure comes from the state, and only the state can issue or remove it. A certification from an association is not a license, however official it looks — in Texas it is TREC that licenses you.

YOU HAVE MISSED THIS

Advertising and marketing your home inspection business is allowed as long as:

You follow your state's requirements — advertising only with a current license and in good standing.

Say it back

Cover the page. Answer each one out loud.

1. Who gets a copy of the report?
2. Which recipient is least likely to be an ethical breach, and why?
3. Why is paying to be a preferred inspector a breach?
4. Where should changes to a home be discussed, and why?
5. Name four things inspection organizations offer, and the one they cannot.
6. Who issues a license, and who issues certification?
7. What condition applies to advertising your business?